

China: Another strong beat in FX reserves

Cross-border tightening and outbound investment regulation

- *May FX reserves surprised to the upside again, likely on firmer-than-expected exports as price effects turned supportive and/or softer imports.*
- *Implied outflows likely remained muted at US\$20bn. PBOC accelerated gold purchases, while UST holdings declined.*
- *CFETS strengthened (+1.5%) and REER +1%, while customer FX behavior softened (net settlement narrowed as both settlement and sales ratios fell).*
- *Cross-border measures are channel cleanup, cracking down on illegal/grey-zone activity and steering flows to compliant routes.*
- *State Council outbound-investment rules codify a comprehensive governance framework rather than signaling a broad clampdown on capital outflows.*

May FX reserves beat expectations again, rising US\$31.7bn to \$3442.2bn (vs J.P. Morgan: US\$3405bn; consensus: US\$3400bn). The upside surprise likely reflects firmer-than-expected exports and/or a larger-than-expected pullback in imports after five consecutive months of expansion. [Port tracking](#) shows some moderation in departing container-ship deadweight tonnage, while bulk shipping was lifted by a month-end jump. Price effects may also have turned supportive as AI memory chip/module prices surged, “three-new” (EVs/solar/batteries) prices picked up, and rising PPI pressures passed through to other manufactured products. Another explanation is another month of muted implied capital outflows. Next week’s May trade report should provide more color. We pencil in a wider current-account surplus of US \$64.0bn, a valuation loss of US\$12.3bn (the USD index rose from 98.1 to 98.9), and implied capital outflows remaining muted at US\$20bn. The PBOC further accelerated gold purchases in May (+0.32 mn oz vs 0.03 mn oz average in 2H2025), while China’s US Treasury holdings dropped US\$41bn to US\$652.3bn in March.

CFETS CNY has strengthened lately, though USD/CNY gains were partly capped by renewed USD strength. The CFETS basket has more than fully retraced the 2025 depreciation: it was broadly stable through April before jumping higher. Last year’s CNY TWI weakness drew pushback from non-US trading partners amid China’s record trade surplus, reviving accusations of “intended” depreciation alongside a pronounced decline in the REER. In our view, China’s export outperformance is better explained by manufacturing efficiency gains and domestic deflation than by FX undervaluation. A firmer CNY basket could also help ease geopolitical frictions and support RMB internationalization objectives under the 15th Five-Year Plan.

In May, CFETS rose about 1.5% and the REER increased around 1%, bringing the REER back to early-2025 levels (after a brief move toward those levels in mid-March). Meanwhile, banks’ FX settlement ratio, a proxy for customers’ willingness to convert foreign currency into RMB, fell from 58.2% in March to 50.2% in April, weaker than typical seasonality and reversing the prior months’ pattern. The FX sales ratio (customers’ willingness to buy foreign currency) also declined, from 55.0% to 49.8%. Consequently, the net FX settlement ratio (settlement minus sales) narrowed to 0.4%pt from 3.1%pts in March.

Cross-border tightening/outbound investment regulation

See page 4 for analyst certification and important disclosures.

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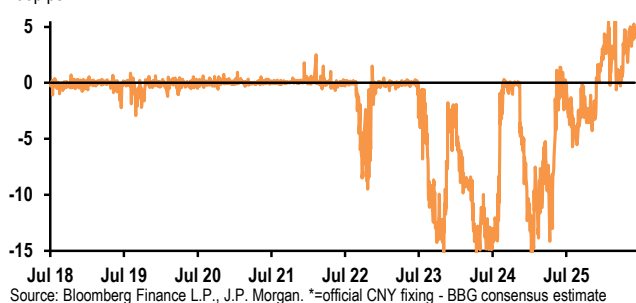
Against the backdrop of renewed debate on [RMB internationalization](#), a flurry of policy announcements on cross-border securities, futures, fund activities, and outbound investment has left investors questioning whether China is meaningfully tightening outbound capital flows. We don't think so.

The CSRC-led campaign targets illegal [cross-border](#) marketing, account opening, trade execution, and fund-transfer facilitation, while steering investors toward compliant channels, signaling a preference to redirect activity rather than suppress it. This is less about new rulemaking and more about tighter enforcement against grey-area practices. In Hong Kong SAR, enforcement is translating into tighter KYC (Know Your Customer)/source-of-funds and documentation checks, particularly for new Mainland Chinese Visitor accounts. We think the joint policy efforts aim to shut down illicit solicitation/servicing (notably via online/offshore channels) and re-route flows into supervised pathways (e.g., Stock Connect, QDII, Wealth Management Connect), i.e., channel cleanup, not a blanket ban on offshore investing.

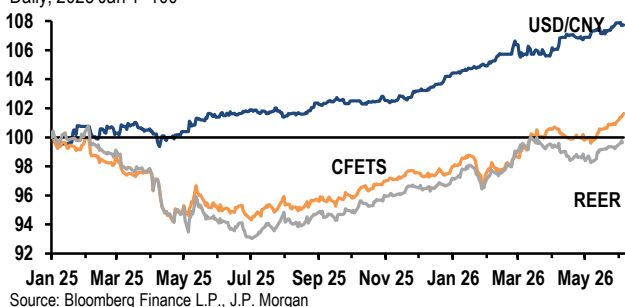
On June 1, the State Council issued *Regulations on Outbound Investment*, establishing a more comprehensive legal framework to support high-standard opening-up while safeguarding national security and investors' lawful rights. They apply broadly to China-domiciled enterprises, organizations, and resident individuals, covering direct or indirect overseas investments that confer ownership, control, management rights, or other interests (including via funding and guarantees). On oversight, the regulations codify classified and end-to-end supervision, including approval/filing and reporting where required, and reinforce key compliance constraints such as export controls (including technology/services/data), FX and cross-border regulatory requirements, and an enhanced national-security review regime. They tighten conduct standards and risk management, provide mechanisms to respond to foreign discriminatory barriers (including possible countermeasures), and set confidentiality duties and penalties (fines, remedial orders, restrictions/bans, and civil/criminal liability). The framework also applies by reference to Hong Kong SAR, Macau SAR, and Taiwan and takes effect 1 July 2026, though detailed implementation measures have yet to be released.

In our view, the objective is not to curb outbound investment per se, but to standardize governance and tighten enforcement around activities that already sit within existing rules. It should be read as part of a broader effort to build a comprehensive regime for the prudent management of cross-border flows, including talent, technology, data, capital, etc. Near-term capital outflow pressure has eased materially, alongside solid CNY gains both against the USD and on a trade-weighted basis. If anything, the near-term policy focus is more on avoiding an overly rapid CNY appreciation. The regulations also underscore state support for overseas expansion and include a protection clause. If Chinese firms face discriminatory restrictions abroad, authorities may take corresponding measures to safeguard Chinese investors' lawful rights and interests.

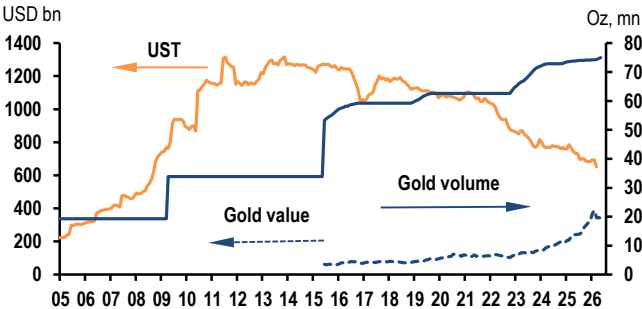
USD/CNY fixing bias*
'000bps



CNY exchange rates
Daily, 2025 Jan 1=100

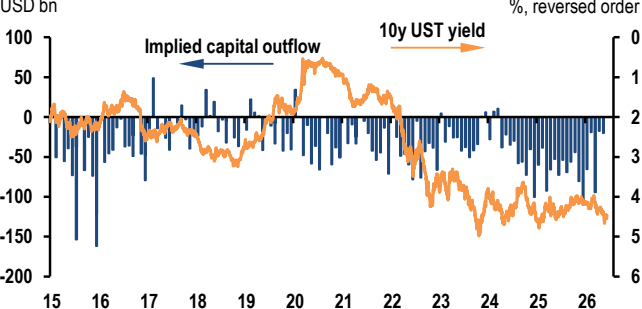


China's official reserve asset components



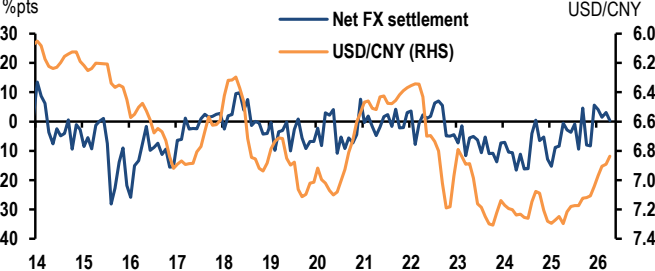
Source: PBOC, U.S. Department of the Treasury, J.P. Morgan

China's capital outflow and 10-year UST yield



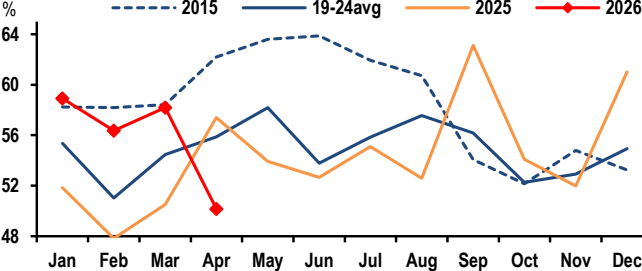
Source: SAFE, Federal Reserve, J.P. Morgan

Banks' net FX settlement vs. CNY exchange rate



Source: SAFE, J.P. Morgan

Banks' FX settlement ratio on behalf of clients



Source: SAFE, J.P. Morgan

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